

WRITTEN ARGUMENTS ON BEHALF OF THE COMPLAINANT

C.C. NO. 1847/SS/2026

Matter: C.C. NO. 1847/SS/2026
Filed by: Ritesh Ahluwalia
Filed on: 20.05.2026

I. BRIEF FACTS

The Accused took a friendly loan of Rs. 36,00,000 from the Complainant on 10.08.2024 under a written Loan Agreement cum Promissory Note, and acknowledged the debt by paying interest of Rs. 1,08,000 on 10.11.2024. Towards discharge of the principal, the Accused issued Cheque No. 004821 for Rs. 36,00,000, which was dishonoured for 'Funds Insufficient'. Despite a valid statutory notice, the Accused neither paid nor replied, completing the offence under Section 138 of the Negotiable Instruments Act, 1881.

II. STATUTORY PRESUMPTION UNDER SECTIONS 118 AND 139

Once the signature on the cheque is admitted, the statutory presumption under Sections 118 and 139 of the Negotiable Instruments Act, 1881 arises in favour of the holder that the cheque was issued for discharge of a legally enforceable debt. The burden then shifts to the Accused to rebut the presumption on a preponderance of probabilities, and it is not necessary for the Complainant to further prove the existence of the debt. Reliance is placed on Rangappa v. Sri Mohan, (2010) 11 SCC 441, and Kumar Exports v. Sharma Carpets, (2009) 2 SCC 513.

III. THE ACCUSED HAS FAILED TO REBUT THE PRESUMPTION

The Accused's sole defence is that the cheque was issued as 'security' for a proposed transaction that never materialised. This defence is a bare, uncorroborated assertion, unsupported by any contemporaneous document, e-mail, message or witness. The Accused has admitted signing and handing over the cheque and admitted the underlying loan and the part-payment of interest, both of which independently establish the existence of a debt.

The discrepancy between the figures and words on the cheque, and the discrepancy between the interest rate recorded in the Loan Agreement (15% p.a.) and the rate used in the Complainant's personal ledger (18% p.a.), are both collateral matters going, at best, to the quantum of interest, and do not detract from the admitted issuance of the cheque for the principal sum or from the existence of the underlying debt.

IV. COMPLIANCE WITH STATUTORY REQUIREMENTS

The cheque was presented within the period of its validity, the statutory notice was issued within 30 days of the return memo, and the present complaint was filed within one month of the expiry of the statutory period, in full compliance with Section 138 read with Section 142 of the Negotiable Instruments Act, 1881.

V. QUANTUM OF COMPENSATION

Having regard to the cheque amount, the interest lost and the harassment caused to the Complainant over an extended period, it is submitted that compensation of Rs. 41,00,000 under Section 143A read with the applicable provisions of the Bharatiya Nagarik Suraksha Sanhita, 2023 is just and warranted.

VI. PRAYER

It is respectfully prayed that this Hon'ble Court may be pleased to convict the Accused under Section

138 of the Negotiable Instruments Act, 1881 and award compensation as prayed in the complaint.